

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-14

AIRBOSS DEFENSE GROUP, LLC,
COMPLAINANT,

V.

FEDEX TRADE NETWORKS TRANSPORT & BROKERAGE, INC.,
RESPONDENT AND CROSS-COMPLAINANT,

V.

MEDITERRANEAN SHIPPING COMPANY S.A. AND MEDITERRANEAN SHIPPING
COMPANY (USA) INC.,
RESPONDENTS AND CROSS-RESPONDENTS.

**VERIFIED CROSS-COMPLAINT OF FEDEX TRADE NETWORKS TRANSPORT &
BROKERAGE, INC. AGAINST MEDITERRANEAN SHIPPING COMPANY S.A., AND
MEDITERRANEAN SHIPPING COMPANY (USA) INC.**

Respondent and Cross-Complainant FedEx Trade Networks Transport & Brokerage, Inc. (“FTN”), by and through its undersigned attorneys, hereby submits its Verified Cross-Complaint against Respondents and Cross-Respondents Mediterranean Shipping Company S.A. (“MSC S.A.”), and Mediterranean Shipping Company (USA) Inc. (“MSC USA”), as agent for MSC S.A. (collectively “MSC”), based upon violations of the Shipping Act of 1984, 46 U.S.C. § 40101, *et seq.*, as amended, (the “Shipping Act”) in connection with demurrage, detention and related charges assessed by MSC to FTN. Pursuant to the Shipping Act, FTN is entitled to reparations and other relief based on violations of the Shipping Act by MSC¹:

¹ FTN’s Motion to Dismiss ADG’s Complaint based on a release of claims by ADG, filed on May 31, 2024 [Dkt. 17], is currently pending in this proceeding. Pursuant to Rule 62 of the Commission’s Rules of Practice and Procedure, a crossclaim must be filed concurrently with the cross-complainant’s answer or within ten days of the denial of a motion to dismiss. See 46 C.F.R. § 502.62. Because FTN’s crossclaim may have begun to accrue as early as November 4,

I. CROSS-COMPLAINANT

1. Cross-complainant FTN is a corporation organized and existing under the laws of the State of New York having its principal place of business at 145 Lt. George W. Lee Avenue, Memphis, TN 38103. FTN is a non-vessel operating common carrier (“NVOCC”) licensed by the Federal Maritime Commission (“FMC” or the “Commission”).

II. CROSS-RESPONDENTS

2. Cross-Respondent MSC S.A. is a global container shipping company and ocean common carrier headquartered at Chemin Reu 12-14, CH 1208 Geneva, Switzerland, conducting business in the United States through its agent MSC USA. MSC is an ocean common carrier within the meaning of the Shipping Act, 46 U.S.C. § 40102(18), subject to regulation by the Commission.

3. Cross-Respondent MSC U.S. is MSC S.A.’s U.S. agent, whose office is located at 420 5th Avenue, 4th Floor, New York, New York 10018.

III. JURISDICTION

4. The FMC has subject-matter jurisdiction over this Cross-Complaint pursuant to the Shipping Act of 1984, as amended.

5. This Cross-Complaint is being filed pursuant to Section 11(a) of the Shipping Act, 46 U.S.C. § 41301. FTN seeks reparations, injunctive, declaratory and other relief for injuries caused to it by MSC resulting from violations of the Shipping Act, 46 U.S.C. §§ 41102(c) and 41104 and 46 C.F.R. §§ 545.4 and 545.5.

6. Cross-Respondents actions alleged herein constitute failure by Cross-Respondents to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property for which FTN was responsible in its capacity as an NVOCC,

2021, FTN is filing a cross-complaint at this time as a prophylactic measure to preserve its rights in light of the three-year limitations period set forth at 46 C.F.R. § 502.302.

in violation of 46 U.S.C. §§ 41102(c) and 41104 and 46 C.F.R. §§ 545.4 and 545.5. MSC's assessment of demurrage, detention and other related charges for containers subject to a government hold violated the Shipping Act.

IV. FACTUAL ALLEGATIONS

7. During the period June 2021 through December 2021, FTN provided ocean transportation for approximately 578 containers of nitrile examination gloves from Malaysia to the Port of Long Beach, California (the "Shipments"). Each of the Shipments was transported under an FTN house bill of lading listing ADG as the Consignee.

8. FTN engaged MSC to transport the Shipments under MSC master bills of lading listing FTN as the Shipper and Consignee.

9. FTN completed delivery of 376 of the containers of the Goods. However, prior to delivery of the remaining 202 containers comprising the Shipments, U.S. Customs and Border Protection ("CBP") issued a Withhold Release Order preventing the importation of the goods contained in the 202 containers (hereinafter, the "WRO Containers"). The WRO Containers were discharged from MSC vessels and initially stored at Total Terminal International, LLC's ("TTI") marine terminal in Long Beach, California.

10. On information and belief, approximately 135 of the WRO Containers were transferred to a CBP examination station pursuant to instructions by CBP, an additional 5 WRO Containers were removed from the TTI terminal and stored elsewhere, and approximately 62 of the WRO Containers remained at the TTI terminal. On information and belief, the contents of the WRO Containers were eventually destroyed and the containers returned during the period October 2022 to July 2023.

11. Demurrage, detention, container per diem and chassis per diem charges related to the WRO Containers were assessed by MSC during the period the WRO Containers could not be

released due to CBP's Withhold Release Order. MSC in the first instance assessed those charges against FTN and/or FTN's subcontracted motor carriers, and FTN, in turn, passed through those charges to ADG as Consignee listed on each of FTN's house bills of lading.

12. Cross-Respondents' practice of assessing of demurrage, detention and per diem charges during period when the cargo is subject to a governmental hold (a) occurs on a normal, customary, and continuous basis, (b) is related to receiving, handling, storing, or delivering property, and (c) is the proximate cause of the claimed loss and/or damages alleged herein.

13. On June 1, 2022, FTN filed suit against ADG in U.S. District Court for the District of Maryland, Docket No. 1:22-cv-1313-LKG, to recover unpaid ocean freight charges and accrued demurrage, detention, per diem and chassis charges related to the WRO Containers. FTN and ADG entered into a settlement agreement of that action (the "FTN-ADG Settlement Agreement") under which (1) ADG agreed to take full responsibility for all storage, detention, demurrage, chassis, container, per diem charges, drayage, container drop fees and other non-freight charges or fees, (2) ADG agreed to pay to FTN \$5 million of approximately \$15.4 million in outstanding charges for ocean freight and insurance, and (3) ADG released all claims against FTN arising in connection with the Shipments, including the WRO Containers.

14. On information and belief, MSC and ADG also entered into a settlement agreement relating to certain container and chassis per diem charges as well as demurrage and detention charges assessed by MSC. The settlement agreement between MSC and ADG includes a release by MSC and ADG of all claims against FTN connected in any way with the WRO Containers.

15. Notwithstanding the settlement agreements and releases in the FTN-ADG and MSC-ADG settlement agreements, ADG has failed to take full responsibility for charges related to the WRO Containers and has instead asserted claims against FTN seeking reparations for alleged violations of the Shipping Act. In addition, MSC has invoiced FTN for demurrage,

detention and per diem charges relating to the WRO containers. FTN has filed a motion to dismiss ADG's claims, which remains pending.

V. VIOLATIONS OF THE SHIPPING ACT

16. Section 41102(c) of the Shipping Act (46 U.S.C. § 41102(c)) prohibits a common carrier or marine terminal operator from failing to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” Section 41104(a)(14) provides that a common carrier shall not assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or Part 545 of title 46, Code of Federal Regulations (or successor regulations).” Section 545.5 of FMC regulations (46 C.F.R. § 545.5) provides in pertinent part that “in assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.”

17. In violation of Sections 41102(c) and 41104(a), MSC has failed to establish and observe just and reasonable practices by failing to extend free time or to waive or reduce its demurrage, detention, and per diem charges it has assessed to FTN in connection with the WRO Containers. MSC has also violated Section 41104(d) and 41104(f) of the Shipping Act by failing to issue compliant invoices to FTN and/or ADG for demurrage, detention, and/or per diem charges assessed by MSC and passed through to ADG by FTN.²

² If FTN were to be found liable to ADG for violation of Sections 41102(c), 41104(a), 41104(d) or 41104(f) of the Shipping Act as a result of FTN's passing through to ADG the demurrage, detention, and per diem charges assessed by MSC, FTN's liability will have been caused by MSC's violations of the Shipping Act as alleged herein.

VI. CAUSATION AND INJURY TO COMPLAINANT

18. As a result of Cross-Respondents' violations of the Shipping Act, FTN has or will sustain injuries and damages in the amount of the demurrage, detention and per diem charges assessed by MSC to FTN and/or any reparations or other relief awarded to ADG and against FTN in this proceeding.

VII. ALTERNATIVE DISPUTE RESOLUTION

19. FTN has made unsuccessful attempts to resolve this matter with MSC prior to filing this Cross-Complaint and since the filing of ADG's Complaint.

VIII. PLACE OF HEARING

20. Complainant requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol St., NW, Washington, D.C. 20573-0001.

IX. PRAYER FOR RELIEF

WHEREFORE, FTN respectfully requests that Cross-Respondents be required to answer the charges in this Cross-Complaint, and that after the Commission's investigation and hearing, the Commission:

- 1) Issue an Order requiring Cross-Respondents to pay to FTN reparations for the unlawful conduct described herein, along with interest and Complainant's attorneys' fees and costs, pursuant to 46 U.S.C. 41305;
- 2) Issue a declaratory order providing that MSC's assessment of demurrage, detention and per diem charges as alleged herein is unlawful and in violation of the Shipping Act;
- 3) Issue an injunctive Order prohibiting MSC from assessing or attempting to collect unlawful demurrage, detention and per diem charges as alleged herein;

- 4) Requiring the payment of any other amounts, including attorneys' fees, that the Commission deems appropriate; and
- 5) Providing such other and further relief that the Commission may deem just and proper.

Respectfully submitted,



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*Attorneys for FedEx Trade Networks
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Dated: November 1, 2024

VERIFICATION

I, Leticia Vargas, am the General Manager of Cross-Complainant Fedex Trade Networks Transport & Brokerage, Inc. and hereby declare and attest under penalty of perjury that I have read the forgoing Verified Cross-Complaint and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

Dated: November 01, 2024

A handwritten signature in black ink, appearing to be 'Leticia Vargas', is written over a horizontal line.

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the parties to this proceeding by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 1st day of November, 2024.

A handwritten signature in blue ink, appearing to read "D K Monroe", is written over a horizontal line.

David K. Monroe